

**FEDERAL MARITIME COMMISSION**

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**DOCKET NO. 21-17**

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**OCEAN NETWORK EXPRESS PTE. LTD. – POSSIBLE VIOLATIONS  
OF 46 U.S.C. § 41102(c)**

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**SETTLEMENT AGREEMENT**

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This Agreement is entered into between:

(1) the Federal Maritime Commission's Bureau of Enforcement, Investigations, and Compliance hereinafter referred to as BEIC, as successor to the Bureau of Enforcement, and

(2) Ocean Network Express Pte. Ltd. (ONE), hereinafter referred to as Respondent.

WHEREAS, the Federal Maritime Commission (Commission) instituted this proceeding against Respondent for the recovery of civil penalties for alleged violations of 46 U.S.C. § 41102(c) of the Shipping Act of 1984 (Shipping Act); and

WHEREAS, BEIC was made a party to this proceeding; and,

WHEREAS, such a proceeding is based on the Commission's allegation that Respondent engaged in certain practices, to wit:

ONE is alleged to have violated 46 U.S.C. § 41102(c) by overbroadly defining and applying the definition of "merchant" in ONE's bill of lading (BOL) in such a manner as to unilaterally impose joint and several liability for freight and/or charges on a party with whom ONE was not in contractual privity and who had not consented to be bound by the terms of the BOL.

Specifically, ONE is alleged to have unreasonably defined and applied its definition of a "merchant" to demand payment from a third-party, when the third party was not in privity of contract with ONE, did not have a beneficial interest in the cargo moved, and did not assent to be bound to ONE's BOL Terms and Conditions or to be liable for payment of any charges due to ONE.

WHEREAS, the Commission is authorized under 46 U.S.C. § 41109, and Subpart W of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.601, *et seq.* to settle and collect civil penalties arising from the alleged violations set forth and described above; and,

WHEREAS, BEIC and Respondent believe it is in the best interests of the parties and the shipping public to resolve this proceeding under the conditions stated herein rather than engage in continued litigation;

WHEREAS, Respondent has agreed to modify its practices and agreed to undertakings intended to address the conduct that is the basis of the alleged violations set forth and described above;

NOW THEREFORE, in consideration of the premises herein, and in compromise of all civil penalties arising from the alleged violations set forth and described above, Respondent and BEIC hereby agree upon the following terms and settlement:

1. Within five (5) calendar days after a decision approving this Settlement Agreement becomes administratively final, ONE shall make monetary payment of civil penalties to the Commission, by cashier's or certified check or by online payment, in the total amount of \$131,332.00.
2. Upon submission of this Settlement Agreement to the Administrative Law Judge, ONE will immediately publish and maintain as part of its U.S. tariff(s) (currently located on ONE's website at <https://www.one-line.com>) an express notice that ONE will not apply through its U.S. tariff(s) or U.S. bills of lading its definition of "Merchant" to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo (46 C.F.R. § 515.2(b)).
3. Upon submission of this Settlement Agreement to the Administrative Law Judge, ONE agrees to cease and desist (1) invoicing or making any other form of written or oral demand for monies owed under the Bill of Lading or tariff for freight and/or charges to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom ONE has a direct contractual relationship; and (2) all efforts at collecting monies owed to ONE from any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom ONE has a direct contractual relationship. ONE agrees to the entry of an Order by the Administrative Law Judge or the Commission directing ONE to cease and desist for this purpose.

4. It is expressly understood that ONE shall not be relieved of the above unless and until an applicable requirement of law, regulation, or Commission policy of general applicability has the effect of superseding the provisions set forth herein.
5. BEIC and ONE shall jointly submit to the Administrative Law Judge a motion seeking approval of this Settlement Agreement.
6. ONE hereby waives all rights now and, in the future, to seek judicial review or otherwise challenge or contest the validity of the order entered pursuant to this Agreement.
7. Upon a decision of the Administrative Law Judge or the Commission approving this Settlement Agreement becomes administratively final, this instrument shall forever bar the commencement or institution of any assessment proceeding or other claim for recovery of civil penalties from ONE and its agents arising from the alleged violations set forth above as related to BOL nos. ONEYSAOU24000400 and ONEYSAOU24596300 identified in the Order of Investigation and Hearing.
8. It is expressly understood and agreed that this Agreement is not, and is not to be construed as, an admission by ONE to the alleged violations set forth above.
9. This agreement is subject to approval by the Commission in accordance with 46 C.F.R. § 502.603. If the agreement is not approved, all of ONE's obligations hereunder, including those set out in paragraph numbers 2 and 3, hereof, shall cease.

ON BEHALF OF RESPONDENT Ocean Network Express Pte. Ltd.

By: Jacob Lee

Title: Vice President & General Counsel

Date: December 2, 2022

ON BEHALF OF THE FEDERAL MARITIME COMMISSION

By: Lucille L. Marvin Digitally signed by Lucille L. Marvin  
Date: 2022.12.02 10:23:17 -05'00'

Lucille Marvin, Acting Director  
Bureau of Enforcement, Investigations, and Compliance

Date: \_\_\_\_\_